

HOUSE No. 4756

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES, November 19, 2025.

The committee on Community Development and Small Businesses, to whom was referred the petition (accompanied by bill, House, No. 299) of Antonio F. D. Cabral and others for legislation to further regulate business improvement districts, reports recommending that the accompanying bill (House, No. 4756) ought to pass.

For the committee,

ANDRES X. VARGAS.

HOUSE No. 4756

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to improve business improvement districts.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 22A of chapter 40, as so appearing, is hereby amended by inserting,
2 in paragraph 1, line 28, after the phrase “improvements to the public realm” the following words:
3 “including district management activities and operations”

4 SECTION 2. Section 22C of said chapter 40, as so appearing, is hereby amended by
5 inserting, in line 11, after the phrase, “public transportation station accessibility improvements”
6 the following words: “district management activities and operations,”.

7 SECTION 3. Section 1 of chapter 40O of the General Laws, as appearing in the 2024
8 Official Edition, is hereby amended by inserting after the definition of “Management entity” the
9 following definition:-

10 “Participating property owner”, any property owner who is not exempted from payment
11 of BID fees and who shall be counted for purposes of establishing the petition threshold and
12 meeting the signatory requirements.

SECTION 4. The second paragraph of section 3 of said chapter 40O, as so appearing, is hereby amended by striking out clause (5) and inserting in place thereof the following clause:-

(5) the criteria for exempting the fee for any class of property owners within the BID district, and the procedure, if any, for waiving the annual fee of an individual participating property owner who can provide evidence that the imposition of such fee would create a significant financial hardship.

SECTION 5. Section 4 of said chapter 40O is hereby amended by striking out the sixth paragraph and inserting in place thereof the following paragraph:-

Participation in the BID shall be permanent until after the discontinuation of the BID as provided in this section, or until the dissolution of the BID under section 10. A non-participating owner in the district shall become a participating member on the date of a renewal vote, as provided below. On or before the fifth anniversary of the organization of a newly created BID, the board of directors of the BID or of its designated management entity shall call a renewal meeting of the BID members to review the preceding 5-year history of the BID, to propose an updated improvement plan to succeed the then current improvement plan and to consider whether to continue the BID. The renewal meeting shall be held at a location within the district. Notice of the meeting shall be given to participating members in the manner provided in the by-laws, at least 30 days prior to the meeting. The BID shall continue if a majority of participating property owners who are not more than 30 days in arrears in any payment due to the BID and are present at the renewal meeting, in person or by proxy, vote to renew the BID commencing on the first day of the next fiscal year of the BID. Thereafter, the board of directors of the BID may opt

for a renewal term of up to 10 years and shall follow all procedures for a renewal meeting heretofore described.

SECTION 6. Section 7 of said chapter 40O, is hereby amended by striking out the third paragraph and inserting in place thereof the following paragraph:-

The BID, through its improvement plan, shall have the option to limit or cap the maximum annual fee derived from individual properties or the total annual revenue generated by the BID; the BID may also establish a minimum fee threshold, below which property owners are exempted from paying the fee.

SECTION 7. Said section 7 of said chapter 40O is hereby further amended by inserting after the third paragraph the following paragraph:-

The initial management plan may also propose a “phase-in” period of not more than 3 years, with assessments increasing over the stated period. The formula for determining the district fee structure shall be set forth in the original petition as required by section 3.

SECTION 8. Section 8 of said Chapter 40O is hereby amended by striking out the fifth paragraph and inserting in place thereof the following paragraph:-

The BID corporation shall comply with the public charity reporting requirements of section 8F of chapter 12. A copy shall be made available for the public to access in the town or city offices or on the municipal website.